

NFRS S1 / S2 — Gap Analysis

What the standards require, what the platform produces, and what is missing

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Table of Contents

INTERNAL

Assessed against the NFRS S1 and NFRS S2 exposure drafts published by ASB Nepal on 7 April 2026 (docs/regulatory-sources/03-nfrs-icann/), read in full, and against the platform as it stands on branch feature/20260907_1. Paragraph citations are the standards' own. Code citations are file:line.

1. The finding that reframes the question

NFRS S1 and S2 are IFRS S1 and S2 with terminology substituted. There is no meaningful Nepal-specific divergence to analyse.

- Paragraph architecture is identical: S1 is “set out in paragraphs 1–86 and Appendices A–E”, S2 in “paragraphs 1–37 and Appendices A–C” — the same as the IFRS originals, heading for heading.
- The word “IFRS” appears eight times in each PDF, **all of them in the Preface and the chairman’s messages. Zero occurrences in the operative text.**
- The substitutions are mechanical: *IFRS Sustainability Disclosure Standards* → *Nepal Sustainability Disclosure Standards*; *ISSB* → *ASB Nepal*; *IFRS Accounting Standards* → *NFRS Accounting Standards*; *Industry-based Guidance on Implementing IFRS S2* → ... *NFRS S2*.

Everything a small market might have been expected to localise was left verbatim: SASB Standards remain a mandatory reference point (S1 §55(a), §58(a), §59(a)); GICS 6-digit codes remain mandatory for financed-emissions disaggregation (S2 B62(a)(i)); GHG Protocol 2004 and the Scope 3 Standard 2011 remain the measurement basis; Appendix C still points at GRI and the European standards.

No Nepal regulatory instrument is cited anywhere in the operative text. Zero hits across both PDFs for “PCAF”, “ESRM”, “taxonomy” or “Green Finance”. “Nepal Rastra”

appears once per document, in the Preface list of committee members. The NRB ESRM Guideline and the Green Finance Taxonomy do not appear.

So the gap worth measuring is **platform against the standard**, not NFRS against IFRS.

1.1 Two facts we should stop getting wrong in our own materials

There is no effective date. S1 Appendix E, paragraph E1 and S2 Appendix C, paragraph C1 both read:

“An entity shall apply this Standard for annual reporting periods beginning on or after **XX XX 202X**.”

The placeholder is unfilled in both drafts. Any statement that NFRS S1/S2 is mandatory, or mandatory from a particular year, is unsupported by these documents.

The standards do not say who must apply them. S1 §§5–9 describe how the Standard is applied by an entity applying it; they assert no scope over any population of entities. Mandated applicability will come from NRB, SEBON or the Nepal Insurance Authority, or from the final ASB Nepal pronouncement. Our internal research note claims “on the face of the standards, every reporting entity in Nepal is in scope” — that is an over-read and should be corrected.

1.2 A live defect in the standards themselves

S2 §12, §23 and §32 each contain a “shall refer to and consider the applicability of” obligation pointing at the *Industry-based Guidance on Implementing NFRS S2*. **ASB Nepal has not published that document.** Three mandatory reference obligations are currently unsatisfiable. Worth raising with NRB or IFC — the formal comment window closed 6 June 2026.

2. Financed emissions — the one paragraph we address

For a commercial bank the operative requirement is **S2 §29(a)(vi)(2) and B62**. This is the whole of our current disclosure claim, and we satisfy part of it.

B62 requires	Platform produces	Assessment
(a) Absolute gross financed emissions disaggregated by Scope 1, 2 and 3, for each industry by asset class	A single portfolio total (portfolio.ts:510); a top-8 sector bar chart	Major gap. No scope split, no industry × asset-class matrix
(a)(i) Industry classified by GICS 6-digit code , latest version at reporting date	NRB sector classification. GICS appears nowhere in the codebase	Not met

(a)(ii) Asset classes shall include loans, project finance, bonds, equity, undrawn loan commitments	Ten PCAF classes declared (pcaf/types.ts:24) but only five reachable, and only two traverse the option ladder (scoring.ts:72-102, 298). Undrawn commitments absent	Partial
(b) Gross exposure per industry per asset class, funded carrying amount before loss allowance , presentation currency	In-scope outstanding NPR as a single KPI (portfolio.ts:582)	Partial. Not disaggregated; loss-allowance treatment undefined
(c) Percentage of gross exposure included; exclusions and asset types explained; risk mitigants excluded; undrawn stated separately	One ratio: facility-matched ÷ in-scope (nfrs-tab.tsx:413)	Not met as specified. Different denominator from the one required
(d) Methodology including the allocation method	A hardcoded prose string (portfolio.ts:831, and a different one at api/bfi.ts:218)	Partial

Supporting requirements that also apply and are unaddressed: **\$29(a)(iii)** measurement approach, inputs, assumptions and changes with reasons; **B55–B56** the extent to which Scope 3 is measured using primary activity data and the extent using verified data; **B27** the consolidation approach (equity share or control) and the reason for it; **S1 \$70** comparatives from year two.

2.1 PCAF is not what the standard asks for

PCAF is never mentioned in either standard — zero hits for “PCAF” or “Partnership for Carbon” across both PDFs. B62(d) requires only that the allocation method be disclosed; PCAF is a legitimate way to satisfy that, not a mandated one. Likewise the PCAF data quality score is *one way* of conveying B55–B56, not a required metric.

This matters commercially. We currently present PCAF as though it were the standard’s own machinery. The defensible claim is narrower and still strong: PCAF is a recognised, documented allocation method that satisfies B62(d), and moving a borrower from Score 5 to Score 3 improves the evidence base behind the number — not that the standard demands a PCAF score.

2.2 Attribution mechanics

The attribution factor is `loan.outstandingUsd / enterpriseValue` with a floor (portfolio.ts:343–348), applied uniformly. PCAF Part A uses different denominators per

asset class — EVIC for listed equity (\$5.1), total equity plus debt for unlisted (\$5.2), total project cost for project finance (\$5.3). The code does not distinguish them and the UI labels every row “loan outstanding ÷ enterprise value” (nfrs-tab.tsx:351).

Two code paths use **different EV floors** — `Math.max(1_000_000, ...)` in the demo path versus `Math.max(1, ...)` in the live overlay (`api/bfi.ts:190`). The disclosed total therefore depends on which path served the request. Both `buildSummary()` and `recomputeSummary()` carry comments warning that they are a duplicated aggregator pair that must be kept in step; they are already out of step.

3. The larger gap — three of the four pillars

S2 follows the four-pillar structure. We occupy part of one.

Pillar	Requirement	Status
Governance	\$6 — oversight body, skills and competencies, how and how often informed, trade-offs considered, whether performance metrics enter remuneration	Nothing. Zero hits for “governance” across lib/, components/, app/
Strategy	\$\$10–21 — risks classified physical or transition, time horizons and their link to planning horizons, business model and value chain concentration, transition plan, current and anticipated financial effects	Nothing rendered as disclosure
Strategy — climate resilience	\$22 mandates scenario analysis. B17: an entity with high exposure and available resources is required to apply a quantitative approach. B18: the resilience assessment must be carried out annually	Nothing. Zero hits for “scenario”
Risk management	\$25 — processes to identify, assess, prioritise and monitor; whether scenario analysis informs identification; how climate	No disclosure output. Substantial operational machinery exists (Annex 5, Annex 5b, CAP, NGFS categories) but nothing

	risk is prioritised relative to other risks; integration into overall risk management	renders \$25
Metrics and targets	\$29(a) GHG; \$29(b)–(g) cross-industry metrics; \$32 industry metrics; §§33–36 targets	Partial — see below

Within metrics and targets:

- **\$29(b)–(d)** amount and percentage of assets vulnerable to transition risk, to physical risk, and aligned with climate opportunities — **not produced**. The Green/Amber/Red taxonomy totals are NRB classification, not an \$29(d) alignment metric, and are never labelled as one.
 - **\$29(e)** capital deployed toward climate risks and opportunities — **nothing**.
 - **\$29(f)** internal carbon price and the price per tonne used — **nothing**.
 - **\$29(g)** percentage of executive remuneration linked to climate — **nothing**.
 - **§§33–36** targets: metric, objective, scope of application, period, base period, milestones, absolute or intensity, how the latest international climate agreement informed it, gases and scopes covered, gross versus net, planned use of carbon credits — **nothing at bank level**. The only “target” in the system is a per-borrower boolean fabricated by hash (climate/infer.ts:250).
 - **Comparatives** (S1 \$70): a five-year trend chart and one year-on-year percentage. Neither export carries a prior-period column; there is no restatement mechanism.
 - **Materiality judgements** (S1 \$74, B19–B29) and **connected information** (S1 \$21, B39–B44): **nothing**.
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4. GHG mechanics — gaps that are not about financed emissions

The bank’s own Scope 1 and Scope 2 are absent. We compute only Scope 3 Category 15. A bank still has to disclose its own fuel, fleet and purchased electricity. \$29(a)(v) and **B30** are emphatic that **location-based Scope 2 is mandatory** (“For the avoidance of doubt...”), with market-based permitted only as additional context where contractual instruments exist. Searching lib/, components/ and app/ for “location-based” and “market-based” returns **zero hits** — Scope 2 is not unspecified, it is absent as a concept.

Seven gases, not one. Appendix A defines greenhouse gases as the seven Kyoto gases, aggregated into CO_{2e} using **100-year GWPs from the latest IPCC assessment available at the reporting date** (B20–B22). Everything in the platform is a single co_{2e} scalar; zero hits for Kyoto, SF₆, HFC, PFC or NF₃.

Two factors are CO₂, not CO_{2e}. CEMENT_TCO₂_PER_TONNE = 0.75 (entities.ts:78) and hydro at capacityMw * 15 tCO₂/MW/yr (entities.ts:254) both flow into fields named annualCo_{2e}Tonnes and render as “tCO_{2e}”. The label and the arithmetic disagree.

S29(a)(iv) disaggregation of Scope 1 and 2 between the consolidated accounting group and other investees — not applicable until Scope 1 and 2 exist, but it shapes the data model.

B27 consolidation approach — the entity is required to use the equity share or control approach and to disclose which. Nothing in the data model carries this.

5. Timeline — the transition reliefs are generous

This is the most commercially useful section, and it argues against urgency framing.

S2 Appendix C, paragraph C4(b) lets an entity omit Scope 3 in the first annual reporting period, and says so explicitly for our case:

“...includes, if the entity participates in asset management, commercial banking or insurance activities, the additional information about its financed emissions (see paragraph 29(a)(vi)(2) and paragraphs B58–B63).”

Combined with the other first-year provisions:

Relief	Effect
S2 C4(b)	Financed emissions may be omitted entirely in year one
S2 C4(a)	An existing non-GHG-Protocol measurement method may be retained
S1 E5	Year one may cover climate only , not the full sustainability scope (must disclose that fact)
S1 E4	Sustainability disclosures may be published after the financial statements — up to nine months after year end for non-interim reporters
S1 E3 / S2 C3	No comparatives in year one
S1 E6	Where E5 is used, no comparatives for non-climate matters in year two either
S2 C5	Year-one reliefs carry into the year-two comparative column

A Nepali bank’s first NFRS report can legitimately contain no financed emissions at all. They bite in **year two** — and there is no year one yet, because there is no effective date.

The honest framing for a bank: this is a capability to build before a deadline exists, not a filing tool for a deadline that has arrived. That is a weaker urgency story and a stronger credibility story, and it is consistent with what we have already told NMB and Laxmi.

No proportionality by entity size, sector or asset threshold exists in either draft. The only proportionality mechanisms are the generic ones: materiality, “reasonable and supportable information available without undue cost or effort” (S1 B6, B8–B10), and the scenario-analysis commensurability test (S2 B1–B7).

6. Integrity issues before any of this touches a real book

Fine for a demonstration. Not fine the moment the disclosure preview points at a bank’s own portfolio.

1. **Hardcoded name substrings decide PCAF scores.**
PCAF_NAME_FIXTURES_VERIFIED = ["ghorahi"] and
PCAF_NAME_FIXTURES_UNVERIFIED = ["arghakhanchi", "hetauda cement", "butwal power"] (demo/fixtures.ts:41–60). Matching one of those strings is the **only** path to Score 1 or Score 2. A second, independent name list in entities.ts:212 sets evSource: "public-filing", routing a borrower to Score 4 rather than 5.
 2. **The retail factor is tuned to the chart.** RETAIL_TCO2E_PER_NPR = 6e-6 (portfolio.ts:265), whose own comment instructs a re-tuner to confirm “the KPI ‘Total financed emissions’ stays under 10M tCO2e and the trend chart’s Unclassified band is visible but not dominant.”
 3. **A demo-only rule sits in lib/regulatory/.** Whether an above-threshold borrower has a reduction target is `stableHash(...) % 100 < 15` (climate/infer.ts:250), with four canned target strings. It is labelled “demo only” but lives outside lib/demo/, so a live build inherits it. This feeds the NFRS tab’s climate-threshold counters.
 4. **One undated FX rate.** NPR_PER_USD = 133.5 (units.ts:19), used for every conversion; its own docstring notes a disclosure needs a dated rate. S1 \$24 requires the presentation currency of the related financial statements.
 5. **Period boundaries hardcoded in four places** — nfrs-tab.tsx:72 ("2024"), :37 and :417 (year < 2025), charts.tsx:189 (partialFromYear = 2025), against reporting/periods.ts:21–35. AS_OF_DATE = "2026-05-01" (synth-util.ts:19) disagrees with the /api/pcaf/scores docstring’s "2025-10-31".
 6. **bankClassForTenant() returns "A" unconditionally**, ignoring its argument (nrbsis-green-statement.ts:239).
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7. Two things to verify before relying on them

The drafts may track the wrong vintage of IFRS S2. They appear to follow the original June 2023 text rather than the ISSB’s *Amendments to Greenhouse Gas Emissions Disclosures* of December 2024. Two tells inside the PDFs: B21–B22 require latest-IPCC 100-year GWPs with no jurisdictional carve-out, and B62(a)(i) mandates GICS with no permitted alternative — both points those amendments relaxed. If that holds, Nepali banks are being

asked for a proprietary classification that the ISSB itself has since made optional, which is a substantive comment worth routing to ASB Nepal through NRB or IFC.

This has not been verified against the ISSB source and should be before it is raised with anyone outside Jana.

The disclosure preview cites a paragraph that may not support it. The methodology note prints “PCAF Global GHG Accounting and Reporting Standard (Part A, Chapter 5), IFRS S2 §29, NFRS draft §17(b)” (nfrs-tab.tsx:468–473). §29 is right. **§17(b)** does not obviously support a financed-emissions claim in either standard — S1 §17 is the materiality requirement, S2 §17 concerns anticipated financial effects. Check it, and correct or remove it.

8. Build order

Sequenced by regulatory weight against effort, not by ease.

Tier 1 — makes the existing number defensible

1. **B62(b) and (c) properly.** Gross exposure before loss allowance, the percentage of gross exposure included, the asset types excluded, risk mitigants excluded, undrawn commitments stated separately. This is arithmetic over data we largely hold, and without it the financed-emissions figure does not meet the paragraph it claims.
2. **B62(a) disaggregation** — industry × asset class. Requires a GICS mapping (or the ISSB relief, if the vintage question resolves in our favour) and a real asset-class router rather than one that can reach five values.
3. **§29(a)(iii) and B55–B56** — measurement approach, inputs, assumptions, changes and reasons; extent of primary-activity data; extent of verified data. The PCAF evidence matrix already holds most of what this needs.
4. Remove the demo-only rules from lib/regulatory/ and the hardcoded name lists from the scoring path.

Tier 2 — the bank’s own footprint

5. **Scope 1 and location-based Scope 2** capture. Small data model, mandatory disclosure, and currently a conspicuous hole in a product called a financed emissions platform.
6. **Seven-gas model** with latest-IPCC GWPs, and correct the two CO₂-labelled-as-CO_{2e} factors.
7. **B27 consolidation approach** as a configured, disclosed property.

Tier 3 — the other three pillars

8. **Governance, strategy and risk management narrative capture** (§6, §§10–21, §25). These are structured text with evidence attachment, not modelling — closer to the

ESDD wizard than to the PCAF engine, and a natural extension of surfaces we already have.

9. **Targets** (§§33–36), including gases and scopes covered, base period, milestones, gross versus net, and planned use of carbon credits.
10. **Scenario analysis and climate resilience** (§22, B1–B18). The largest single build, and the one the Additional Risk Modules catalogue is really describing — physical hazard modelling carried through to financial effect is exactly what §22(a) asks a bank to assess.

Tier 4 — presentation

11. Comparatives and restatement (S1 §70, B49–B53); materiality judgements (§74); connected information (§21, B39–B44).
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9. What to say to a bank

Three claims that survive this analysis:

- The platform produces a financed-emissions figure with a documented allocation method and a stated evidence basis — which is what B62(d) and B55–B56 ask for, and more than a spreadsheet of sector averages provides.
- Financed emissions are a **year-two** obligation under C4(b), with no effective date set. The work to do now is building the borrower and facility data that makes a year-two number possible, because that data cannot be assembled retrospectively.
- Scenario analysis under §22 is mandatory and quantitative for a bank with material exposure and the resources to do it. That is the bridge from this platform to the additional risk modules, and it is a regulatory argument rather than a sales one.

One claim to retire: that the platform delivers NFRS S1/S2 disclosure. It delivers part of one paragraph of S2, plus the operational evidence trail underneath it. Said plainly, that is still a good story.